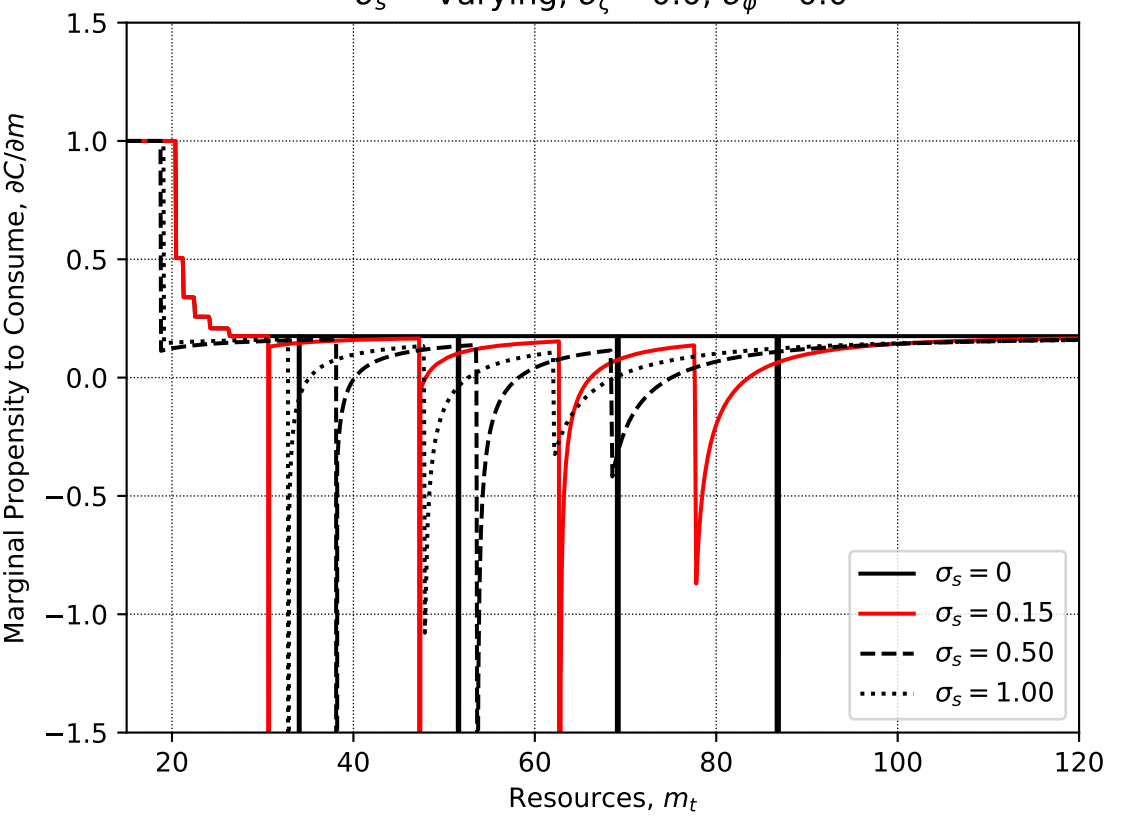
σ_s = Varying, $\sigma_\zeta = 0.0$, $\sigma_\phi = 0.0$
Marginal Propensity to Consume, $\partial C/\partial m$
Resources, m_t
1.5
1.0
0.5
0.0
−0.5
−1.0
−1.5
20
40
60
80
100
120
$\sigma_s = 0$
$\sigma_s = 0.15$
$\sigma_s = 0.50$
$\sigma_s = 1.00$